

BAM Project: NudeProject

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The Value of Globalization

For this BAM Project I would be choosing a Spanish company, the company's name is NudeProject they sell high quality streetwear clothing. The place I want to bring this company would be the United States. The main reason why I chose this company and this specific business model for the U.S. market is because it fits perfectly with our business operations. Starting by faith, NudeProject operations are based under a branch of Christianity which is Catholicism, this is the very first foundation for us to set us for success and overcome any type of adversity. The U.S. in its majority is a Christian country, the religious affiliation in the U.S according to the Pew Research Center is as follows: protestant is around 40%, Catholic around 19%, and other 41% (See Appendix Figure A) Apart from this foundation principle, the U.S. has a big passion towards streetwear clothing for an audience at a young age, these people they want high quality materials; original, and creative to set them apart from the rest; and some of them environmentally, and socially responsible products. Therefore, the U.S. seems like a great fit for NudeProject, I feel like the country has to adapt to the company values and beliefs in the beginning instead of adapting and disrupting the company too much, especially when going overseas for the first time. However, this does not mean that our company is not flexible or adaptable, in fact we are open to change, and we will adapt as needed to come to the U.S.

Now the U.S. is incredibly massive, so you have to choose one place to start. Therefore, it is key to select a strategic entry point that aligns with NudeProject's brand identity and target market, they have stores all over Europe, those stores are located in major cities such as Madrid, Barcelona, Ibiza, Milan, Lisboa, and Amsterdam. A highly promising location and in my opinion a very good starting point would be Los Angeles I would put the first store in a place like Melrose Avenue or even Old Town Pasadena, both good areas offering perfect visibility, a good

atmosphere, and consumer traffic. When walking in these areas you can feel the “fat wallets”, in other words consumers with high purchasing power who are drawn to unique and expressive brands. This setting would be perfect for NudeProject making it easy for us to generate noise, opening store event, host other events, collaborate with influencers, and much more. Entering the U.S. market through LA allows NudeProject to plant its flag in a city where fashion, entertainment, and youth culture converge. All of this perfectly aligns with NudeProject values and style (See Appendix Figure B) Finally, I would also like to mention demographics and faith. Starting by the demographics the population of Hispanics or Latinos in California, in specific Los Angeles area is almost 50% of the population according to the United States Census Bureau, and then also very important 55% of the population in California identify as Christians and in specific the biggest group is Catholicism which is 25% of the population in California. Data according to the Pew Research Center. The presence of Hispanics or Latinos and the high percentage of Catholics are the base of NudeProject since the company was founded in Spain, a Hispanic country where 52% of the population are Catholics according to CIS that in English stands for Centre for Sociological Research.

How you will navigate

There are different things we are going to have to navigate, such as the differences in Legal, Political, and Economic Systems; the differences in Culture; and the CSR and Ethical challenges.

Starting with the differences in Legal, Political, and Economic Systems. The United States and the legal system used here is the common law system developed from the English law based on the Constitution, Statues, and case law. The United States uses a Federalist system where you can find laws that apply all over the country and laws specific to each state. Secondly,

the political system is a constitutional federal republic where the president has power, but they are divided, there are representatives to exercise these powers which are executive, legislative, and judicial. The political system is the electoral system with two major political parties, the Republican Party and the Democratic Part.

Spain, it is worth mentioning that they are different, but we can also find big similarities such as democracy. Spain uses a civil law system based on Roman law. The political system in Spain is a parliamentary monarchy which means that a monarch such as a king or a queen shares power with an elected parliament. In Spain instead of having different laws for each state (technically referred to as autonomous communities that have legislative power) the same laws apply for the whole country.

These differences can cause some situations of tension which can threaten the business. The clearest one for me are the regulations when it comes to having your business abroad, specifically in the United States with different federal and state laws which may conflict, Spanish laws are more centralized across the country, it can be challenging at the beginning.

To bridge these differences together we have to apply ethical practices to make sure you line up the business operations with the values stated in both legal and political systems, every time a company internationalizes it requires an adaptation for the company to successfully blend in a new society. Another measure is having cultural sensitivity. I have lived in the U.S. for almost 2 years already and the cultural differences are not big but there are some, and they should be respected from part of the company. Lastly, collaborating with legal experts who are familiar with both U.S. and Spanish regulations to ensure yourself you are obeying the law.

As far as the opportunities and tensions that different economic levels can cause. A very big opportunity is the difference in the median salary and their economics. With the median salary being \$59,384 in the U.S. and \$72,384 in L.A. that outstands by far the median salary in Spain being €26,950 which equals to \$27,714, that is more than double the income a year. This would be a great advantage for NudeProject since it is a high-quality brand which is expensive in a way, therefore being a non-affordable brand for certain families in Spain. In the U.S. would have a broader audience. It is also a brand designed for younger people who are the ones mostly falling in this \$59,384 salary bracket category. The U.S. market has more purchasing power. Also, people in the U.S have more preference to buy streetwear clothing. However, this purchasing power comes from somewhere and it is higher costs of operations, the labor force in the U.S. is higher, therefore NudeProject would be paying more money to their employees and also another complication would be the importation of materials to the U.S. and even more now with the current uncertainty.

Secondly, to address the cultural differences I have conducted some study and according to the Hofstede dimensions table (Appendix Figure C) there are six dimensions which are power distance, individualism, motivation towards achievement and success, uncertainty avoidance, long term orientation, and indulgence. Every dimension has a score out of a 100. I will be comparing the cultural differences between Spain and the U.S. Starting off with power distance, Spain scores a 57 which is considered high compared to the U.S. scoring 40 in this category. Spain is a hierarchical society which means that people are ranked into levels with different powers and status. "Hierarchy in an organisation is seen as reflecting inherent inequalities, centralisation is popular, subordinates expect to be told what to do and the ideal boss is a benevolent autocrat." (The Culture Factor, n.d.) The U.S. scores low in this dimension which

means liberty and justice for all. Equal rights are an important piece of the American society and government. The main purpose of hierarchy is just for convenience. Superiors are approachable, managers and employees can have open discussions where the employee opinion is valid.

Information is informal, direct, and participative.

The next dimension is individualism. Spain scored 67 while the U.S. 60. Which makes them both individualistic societies, therefore very similar in this aspect which can be advantageous to internationalize the company.

The two major differences are seen in motivation towards achievement and success, and uncertainty avoidance. Spanish society is consensus oriented where quality of life is the main sign of success and standing out is seen as weird. However, the United States scores very high in this category which from my point of view could be a great advantage to internationalize the company. The U.S. is a decisive society (high score), they are driven by competition, achievement and success, being defined as standing out becoming the best one in the field is admired and this mindset starts at a very young age in school and keeps going until professional life at work. For uncertainty avoidance U.S score high being more open minded to changes while in Spain it creates stress and anxiety the confrontation to undefined situations.

The next dimension is long-term orientation, and they are both very similar. Spain scores 47 and the U.S. 50. Therefore, in the U.S there is no preference for anything in specific, on the other hand Spain is a normative country where people like to live in the moment, at the same time we don't really like unpredictable situations.

Lastly, the last big difference is indulgence where Spain scores low with 44 and the U.S. scores high with a score of 68. Making Spain a country where people are usually pessimists, and

where we don't really look forward to having free time because we feel like we are doing something wrong. Vice versa the U.S. really likes to follow their desires.

Christian values can bridge these differences using the basic foundations we all share in the Bible respecting and loving one another as Jesus loved us. By listening and giving up on contradictory statements both sides can come to agreements to achieve Business as Mission.

Lastly, the last piece would be CSR and Ethical challenges. This plays an important role for NudeProject especially in a market like the U.S. where consumers are seeking for sustainability, and ethical practices. In the fashion industry, a lot of companies make the temptation to cut costs by relying on cheap labor or materials. As a BAM guided through Faith and the Bible, we won't sin on that, we are committed to seek the best for our workers and customers. We support our local community by buying local materials and manufacturing local.

Trade Theory and Environment

Factors such as trade freedom or governmental factors can highly affect the potential of coming to America, with the new presidential elections, we have seen an implementation of tariffs in the past few months. President Trump threatened countries such as Mexico, Canada, and China. He also threatened Europe seen in a Bloomberg QuickTake video (See Appendix Figure D) we can see how Trump states that he will also impose tariffs on the European Union claiming that we treat him so badly, because we have a 20% VAT (value-added tax) and that we don't buy his products.

The current situation is that he did a little bit of backpedaling (See Appendix Figure E) and the initial tariffs on Mexico, and Canada have been completely removed, other countries

have a 10% baseline tariff, and “worst offenders” such as EU have a baseline 20% tariff. Finally, China has the biggest at 104%. Information according to BBC.

My project is going to be affected by the new governmental factors because of the tariffs imposed to goods coming from the European Union. If we want to bring these clothing to the U.S. we are going to have to increase our prices, because companies do not pay the tariffs it is the customer who pays for them. My question is: are salaries for American citizens going to increment at the same speed tariffs are being implemented? To not impact Americans purchasing power. Therefore, this would affect us of probably having more difficulties penetrating in the American market.

It is worth mentioning that as Business as Mission company we want to be able to come to agreements and give up on different opportunities if that means that we can overcome tension to achieve a better result not only economically but also ethically. In the long-term all of our good actions will pay off.

Navigating Trade Tools or Impediments

There are various work arounds to skip this tariffs, one option could be exporting our goods first to Mexico, due to its proximity to the U.S. and no tariffs imposed to Mexico it can be a great option. It is also a great idea since the Mexican market would also fit with NudeProject and we could take advantage of that and ship some products to luxury retailers such as “El Palacio de Hierro” or “Liverpool”

Furthermore, I can see various benefits when internationalizing and exporting goods from my BAM to the U.S. market. Two main advantages are as follows: eliminated value-added taxes, and a deregulated market. Firstly, with the value-added taxes, every company that operates in

any country in the European Union has to pay value-added tax (VAT) which is 20% of the tag price for most goods. This one is already included in the products. Furthermore, the U.S. market is less regulated apart from the ongoing tariffs, which can be avoided. In the U.S. you will just have to report to one organ while in Europe you have to report to two (Nation organ and European organ)

Strategy

The strategy that best aligns with the company goals would be an International Strategy since NudeProject is going overseas. That is why I would not choose a localization strategy since it focuses too much only on the local market. NudeProject needs something more global, the different structures and control align with the company and the fast-paced industry. Starting with Vertical Differentiation by pursuing an international strategy we are transferring core competencies from home to foreign subsidiaries. As far as Horizontal Differentiation where the headquarters of the company remain local, however other operating decisions are transferred to the firm subsidiary operations in the U.S.

Other aspects favorable about this strategy is the moderate need for coordination. This benefits because if everybody knows what they have to do and what they are doing. Everything within the company is going to flow easier and at a faster pace. Furthermore, for this type of strategy the need of integrating mechanisms is very low, which I like only for the beginning of this internationalization project, as the company develops, I would probably integrate advanced mechanisms as we grow but so far we don't need them, saving us money from that side. As far as performance ambiguity is moderate because it is true that you need to know how the main areas of the business are going. Besides those areas, the rest are not complicated to track, they can be easily tracked by technology and our store employees. Finally, this structure is great because our

need for cultural controls is moderate. The differences between Spain and the U.S. are not that enormous.

Entry method

The best model to start I consider it to be Intermediate (Strategic Alliance). Establishing partnerships with retailers in the U.S. To bring this to practice, exporting our goods to the U.S. and having them at certain retail stores which must be wisely chosen such as Nordstrom. I like Nordstrom because they offer high-end quality products. Nordstrom is also considered a luxury retailer where the type of people that you find at these stores have a bigger wallet and more purchasing power. Given all these factors that Nordstrom has, our brand and what we represent fits very well with this store and I think it would stand out. This will be a great first contact with America to see how the market is going to react, then if this is successful, I would then fully internalize in the U.S. and assume all the risks of internationalizing. Furthermore, as a faith-based organization we want to ensure our customers get the best customer service and customer experience, that the workers for the retailers are well paid, and that the retailers' practices are ethical.

Marketing Strategy

The marketing strategy we are going to be using in the U.S. will mainly target a young audience through social media using platforms like Instagram, TikTok, and YouTube. We will collaborate with influencers, companies and even universities. We want to promote everywhere, launch a cool event at big college campus such as UCLA or USC and gift merchandise or host a party with DJ/artists in our store. This way is going to be word of mouth spreading our quality, creativity on designs, and more. We also want to implement old-fashion ways of advertising our

company such as having a guy with a sign outside the store. Our strong brand identity is built very good making it very easy for us to promote, it will be marketed by itself, but we will adapt the strategy as needed.

Globalizing Production

The U.S. has had a past of globalization and openness to international brands; however, this is changing currently with the new administration where they are ruining strong international relationships that have been constructed for years. Ruining is a strong word but as the article from The New York Times states that there has been "some degree of distancing from the United States had already been in motion as other countries became wealthier, more capable and less convinced that American centrality would be permanent" (The New York Times, 2025)

Our production is based in Spain, our products are manufactured here. We believe in supporting our local community by creating job opportunities. Furthermore, we use locally sourced materials to further support other Spanish companies. This way we can make our economy grow by increasing the cash flow in our economy. However, as we globalize and escalate, we still want to maintain these values of supporting our local community but diversify into other countries to reduce shipping costs, tariffs, and labor costs. This way we also benefit other communities. This decision would be strategically made based on which countries we operate and what would be the shipping costs, tariffs and many more variables.

Staffing Method and Consideration of Expatriates

We believe on meritocracy values, we will hire the best applicant without regard of other factors such as culture, religion, sexual orientation, foreign status and so on. This will make the hiring process fair. This is not common nowadays, a study conducted by Berkley which then was

reported by an article from Bloomberg reads as: "White people were most likely to get called back and Black people the least. Asian and Latino applicants ranked in the middle" (Bloomberg, 2024)

We are guided by faith and the Bible, we won't judge and be biased by these factors, this we can ensure a nice working environment where everybody is respected without regard of other external factors. Lastly, while we will always respect other cultures, religions, and beliefs, our main goal is to do business as a mission. That means everyone involved must also respect our purpose, if not there will be consequences.

With that said to answer the question of staffing and use expats, we want to adopt a hybrid staffing model. Therefore, we will be hiring local employees with the American market and culture while also having some of our staff from our headquarters in Spain. The expats can be very useful for the starting phase of the business to provide training. Furthermore, this way everybody can be represented, and it can be a cool cultural mix inside the store providing an inclusive working environment.

Appendix

Figure A.

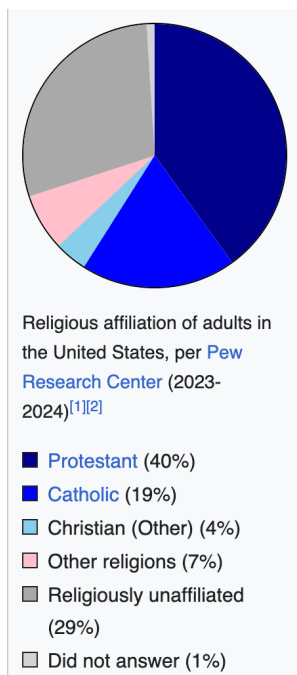


Figure B.

[Instagram Video](#)

Figure C.

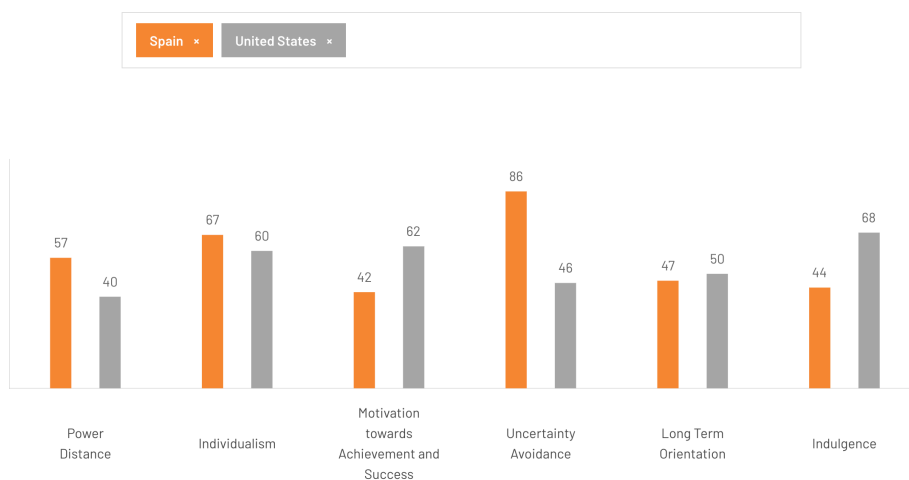
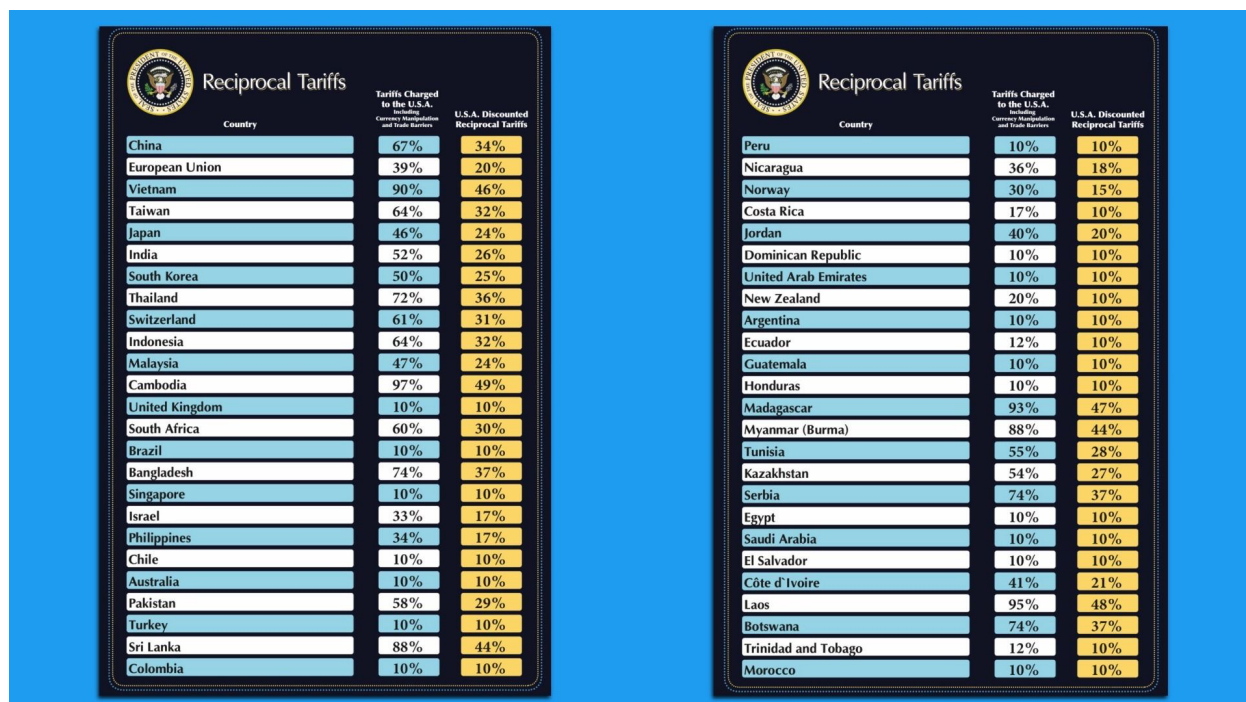


Figure D.

[YouTube Video](#)

Figure E.



Sites & Resources

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